Aga Khan University Examination Board

Notes from E-Marking Centre on SSC-I Business Studies Examination May 2018

Introduction:

This document has been produced for the teachers and candidates of the Secondary School Certificate (SSC) Part I (Class IX) subject in Business Studies. It contains comments on candidates' responses to the 2018 SSC-I Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes:

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General Comments:

It was felt that candidates' lack understanding of basic knowledge related to business and different commercial activities. Most candidates performed poorly in questions dealing with different business situations or cases, they were not able to relate the concept with the given situation resulting in poor scores. However, some candidates produced good responses to these questions. In addition, it seemed that the candidates were not well prepared to answer opinion based questions and hence, were unable to perform well. It was also observed that students did not spend time in reading questions which led to poor answers, as in most cases, candidates wrote a general response without realising the demand/ requirement of the command word in the question.

Note: candidates' responses reproduced in this report have NOT been corrected for grammar, spelling, format or factual information.

Detailed Comments:

Constructed Response Questions (CRQs)

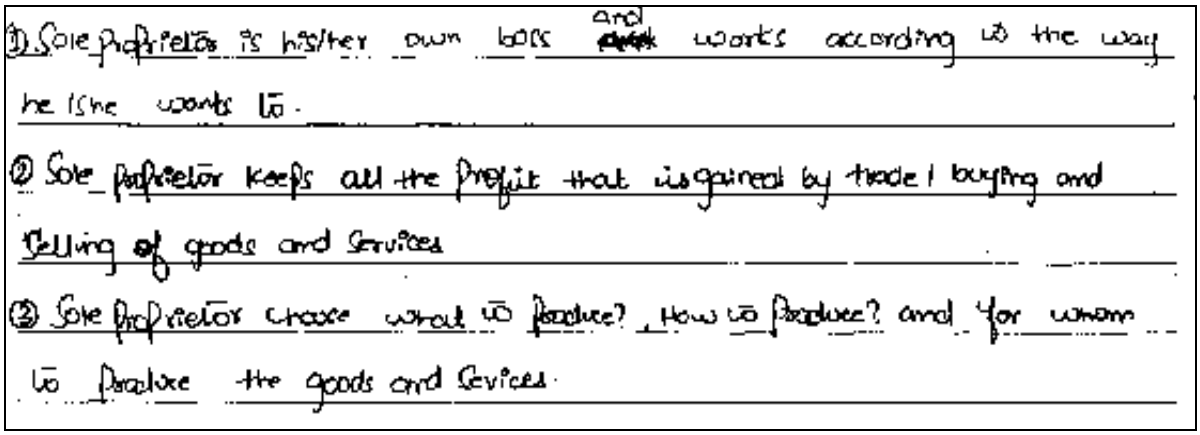
Question 1a:

Shabana is a sole proprietor of a stationary shop in a reputed school of Karachi.

Discuss any THREE features of sole proprietorship.

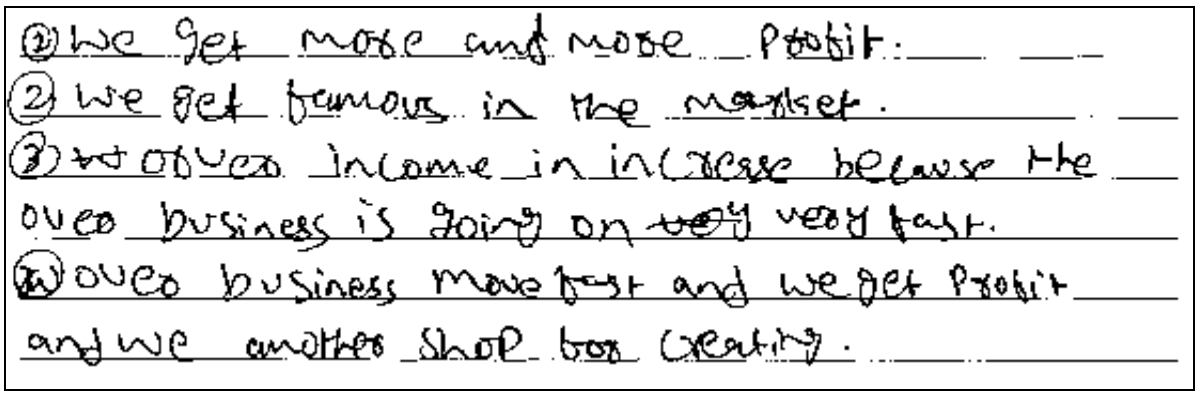
Better responses were those in which the candidates mentioned the important features of a sole owner business, i.e. independency of the owner in management and decision making, profit maximisation, secrecy and formation and dissolution. Few responses also connected the features of sole owner business with Shabana.

Example:



Weaker responses got confused between features and advantages of the sole trader business and they wrote about the advantages of sole trader business. Few students were unable to comprehend the command word of the question and they listed the features. Some responses were unable to distinguish one feature from another and gave repetitive answer.

Example:



Question 1b:

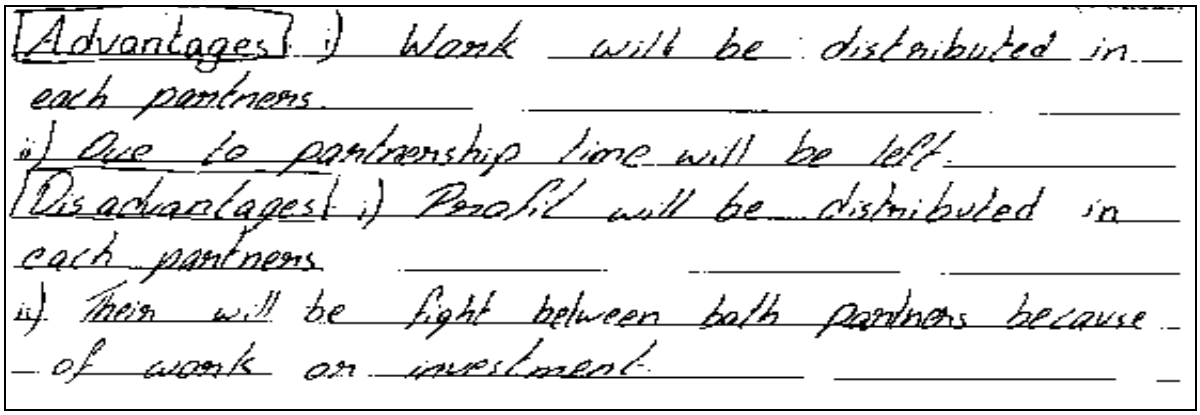
A new branch of the school has started operating in another part of the city. The school management has asked Shabana to open the stationary shop in the new branch as well.

Since Shabana cannot manage both shops at the same time, therefore; she is planning to have
partnership in the new stationary shop.

With reference to the above situation, discuss TWO advantages and TWO disadvantages of such partnership for Shabana.

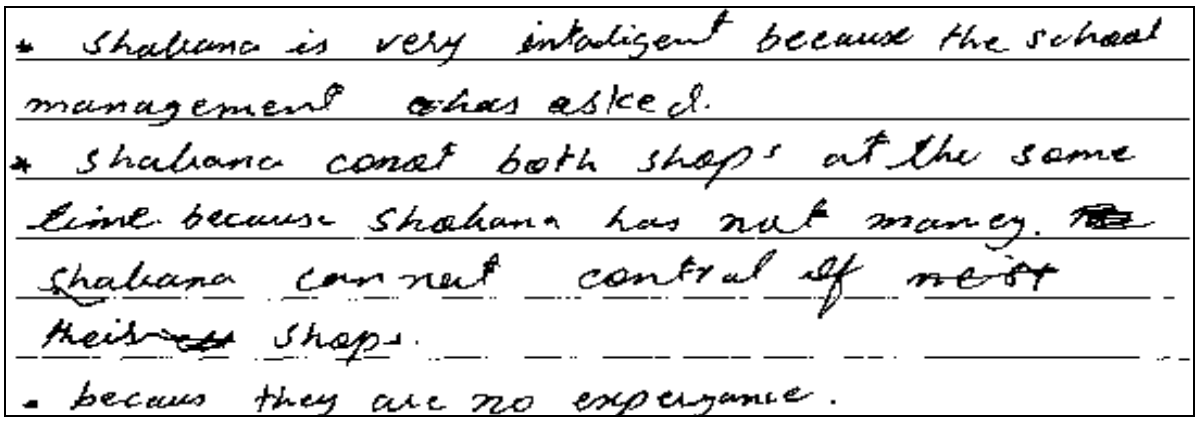
Better responses highlighted that the students have the knowledge about advantages and disadvantages but were unable to relate to the given situation. They discussed advantages such as work will be shared between partners, better decision making between partners, better time management etc. whereas disadvantages included distribution of profit, disagreement between partners, lack of secrecy and delay in decision making etc.

Example:


Advantages i) Work will be distributed in each partners
ii) Due to partnership time will be left
Disadvantages i) Profit will be distributed in each partners
ii) Their will be fight between both partners because of work or investment

Weaker responses either discussed the reasons of doing business rather than focusing on the advantages of having partnership business for Shabana. Some of the candidates' responses reflected that they were not able to distinguish between advantages and disadvantages of partnership.

Example:


* Shahana is very intoligent because the school management chas asked.
* Shahana canot both shop's at the same time because Shahana has not money. Shahana cannot control of both their shops.
- becaus they are no experyance.

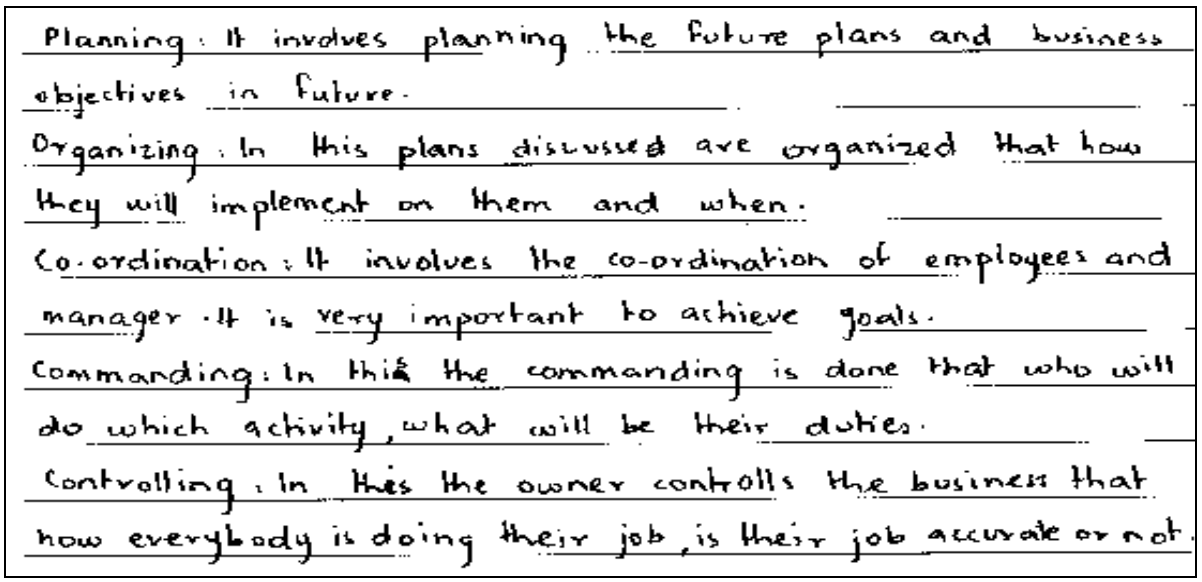
Question 2:

Management and leadership involve problem solving, motivating employees and ensuring that the organisation accomplishes its objectives and goals. This is done through FIVE functions of management.

Explain these FIVE functions of management.

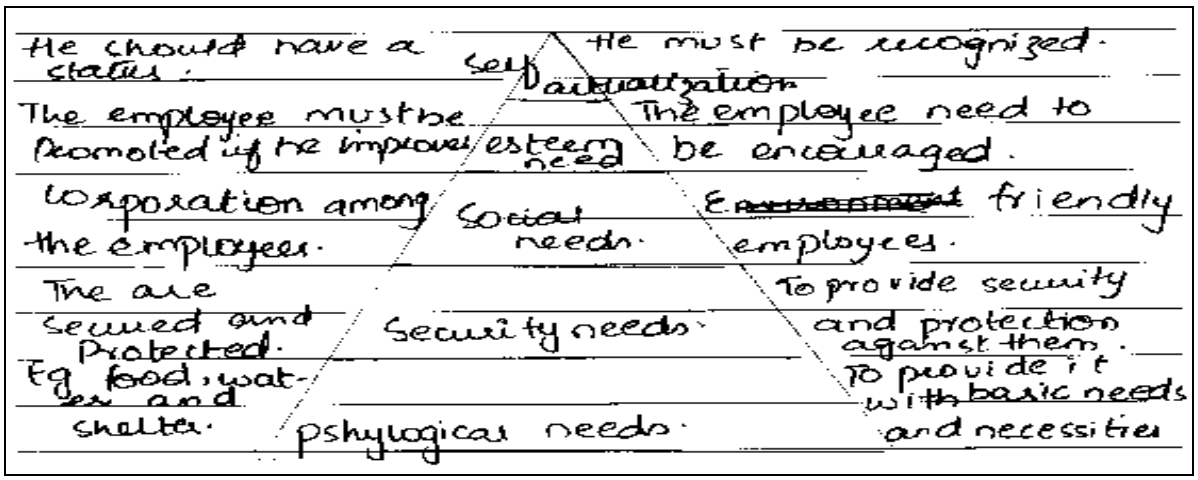
Better responses were those which had explained functions of management, i.e. planning, controlling, organising, commanding and coordinating. Few responses also highlighted how these functions performed by management can help organisation in accomplishing its goals in an effective and creative manner.

Example:


Planning : It involves planning the future plans and business objectives in future.
Organizing : In this plans discussed are organized that how they will implement on them and when.
Co-ordination : It involves the co-ordination of employees and manager . It is very important to achieve goals.
Commanding : In this the commanding is done that who will do which activity, what will be their duties.
Controlling : In this the owner controlls the busines that how everybody is doing their job, is their job accurate or not.

Weaker responses showed that candidates got confused among 14 principles of management, Maslow's theory of hierarchy and FIVE functions of management. Generally the weaker responses showed that candidates were unable to explain the functions of management.

Example:

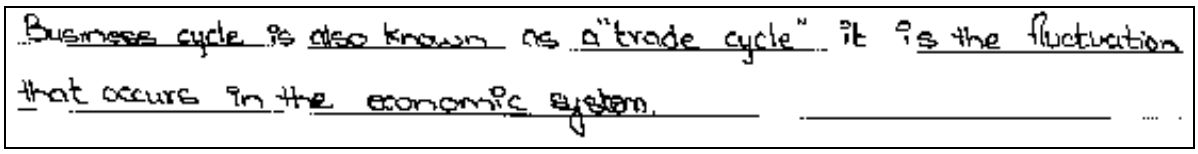


Question 3a:

Define business cycle.

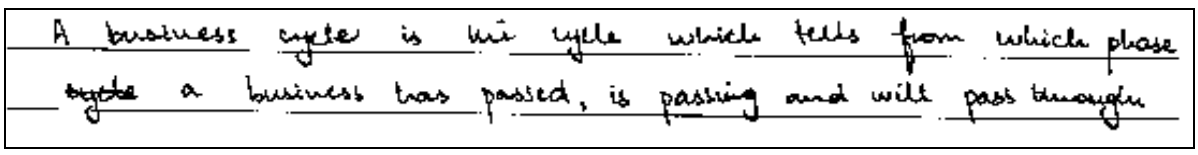
Better responses defined the concept of business cycle correctly; they also mentioned that it is long term phenomena that results in fluctuation in different business and economy.

Example:



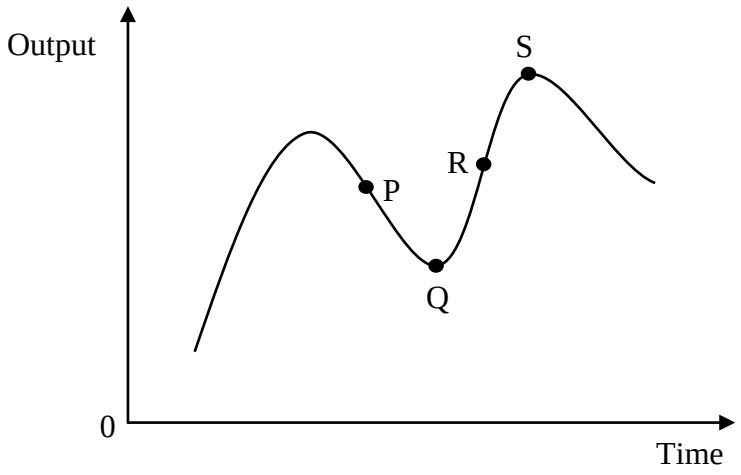
Weaker responses mentioned the status of a business rather than its fluctuation over time. Some of the responses mentioned the accounting cycle of the product life cycle instead of defining business cycle that shows that they were either unable to differentiate between different cycles or got confused in either of these cycles.

Example:



Question 3b:

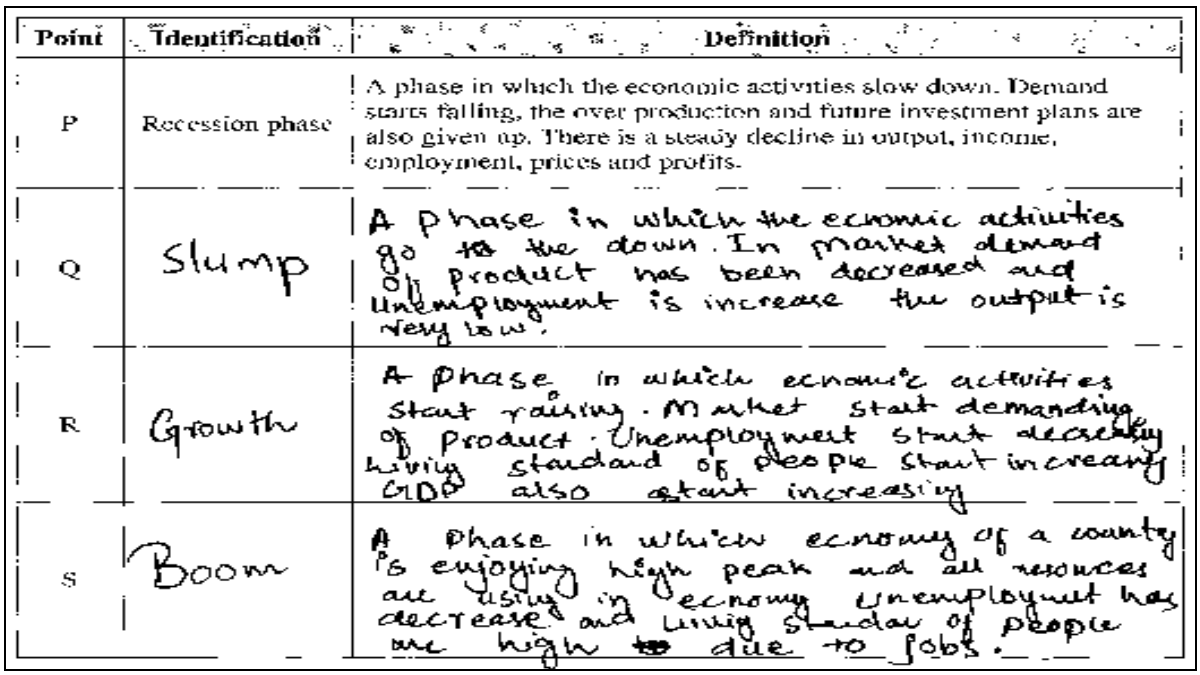
Identify and define different phases of business cycle in the given graph.



Point	Identification	Definition
P	Recession phase	A phase in which the economic activities slow down. Demand starts falling, the over production and future investment plans are also given up. There is a steady decline in output, income, employment, prices and profits.
Q		
R		
S		

Better responses showed candidates' clear understanding of business cycle and its phases. They clearly identified the phase as 'slump', 'growth' and 'boom'. Some of the responses also highlighted the key features or indicators of various phases of business cycle such as employment rate, wealth distribution and production etc.

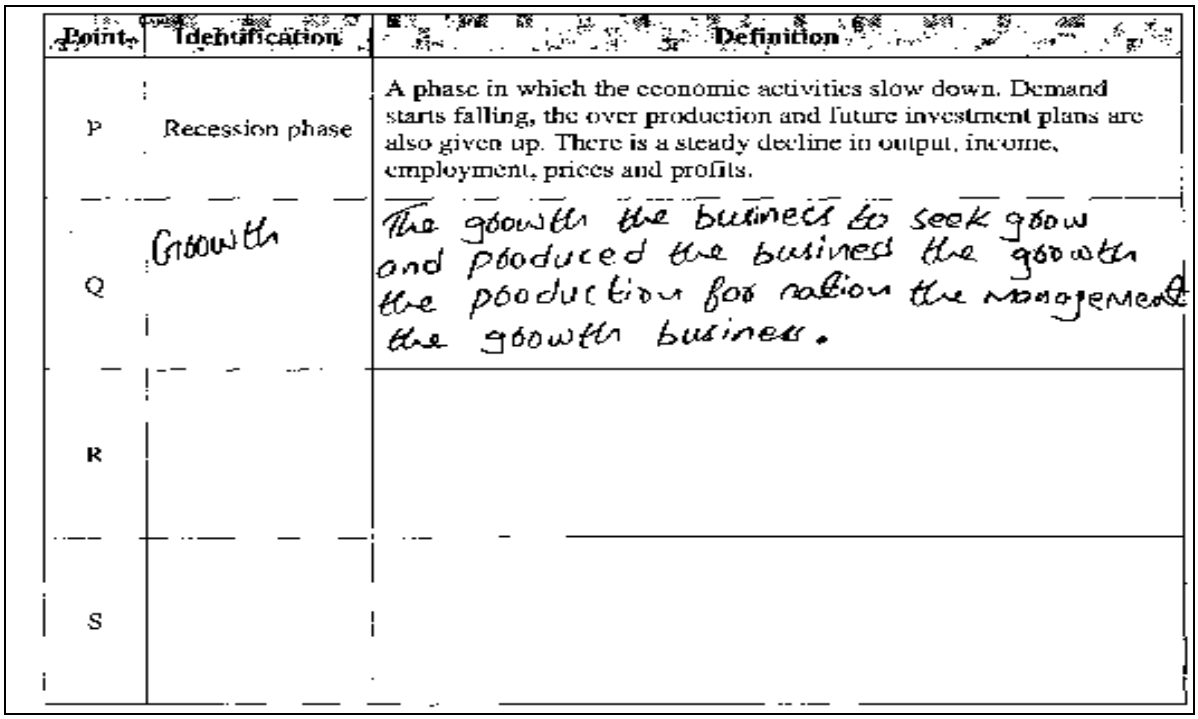
Example:



Point	Identification	Definition
P	Recession phase	A phase in which the economic activities slow down. Demand starts falling, the over production and future investment plans are also given up. There is a steady decline in output, income, employment, prices and profits.
Q	Slump	A phase in which the economic activities go to the down. In market demand of product has been decreased and unemployment is increase the output is very low.
R	Growth	A phase in which economic activities start raising. Market start demanding of product. Unemployment start decreasing living standard of people start increasing GDP also start increasing
S	Boom	A phase in which economy of a country is enjoying high peak and all resources are using in economy unemployment has decrease and living standar of people are high due to jobs.

Weaker responses showed incorrect knowledge of business cycle and its phases. Some of the responses mentioned phases of product life cycle, i.e. 'introduction', 'growth', 'maturity' and 'decline' instead of 'depression', 'recovery' and 'peak'. Some responses showed that students had incomplete knowledge of the phases, as they either did the identification part and left the definition part or they wrote incomplete answers.

Example:



Point	Identification	Definition
P	Recession phase	A phase in which the economic activities slow down. Demand starts falling, the over production and future investment plans are also given up. There is a steady decline in output, income, employment, prices and profits.
Q	Growth	The goowth the buiness to seek goow and pooduced the buisiness the goowth the pooduction foo nation the management the goowth buisiness.
R		
S		

Question 4:

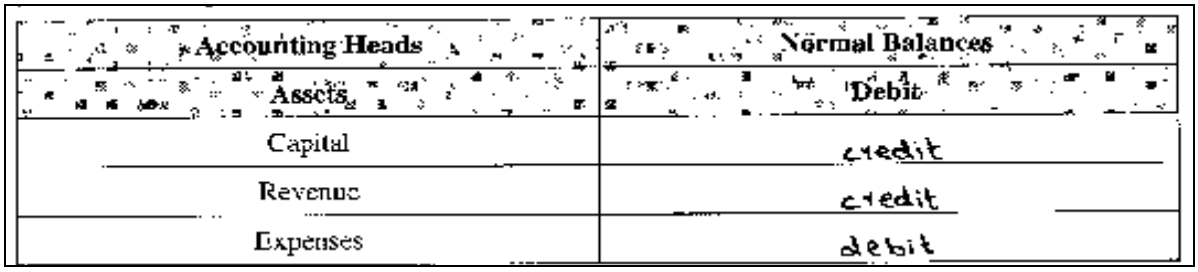
Complete the give table by mentioning the normal balances of following accounting heads in terms of debit and credit.

(**Note:** The first part has been done for your assistance.)

Accounting Heads	Normal Balances
Assets	**Debit**
Capital	
Revenue	
Expenses	

Better responses identified the correct side of the normal balance, i.e. credit, credit and debit against capital, revenue and expenses accordingly. Some of the candidates completed the table by mentioning normal balances with the help of general journal entry.

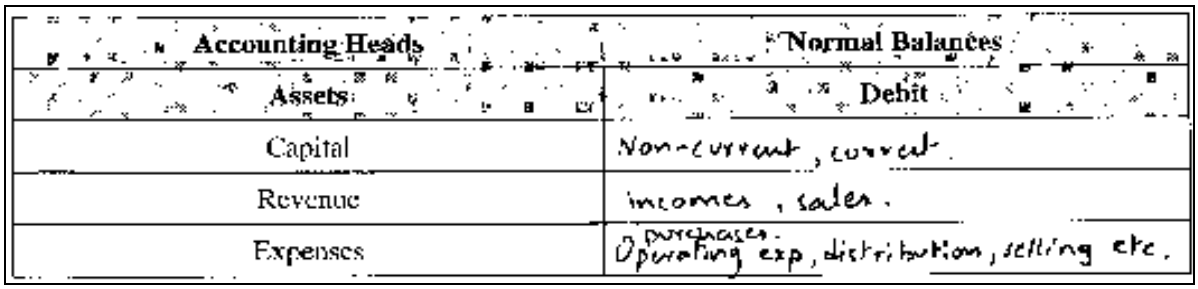
Example:



Accounting Heads	Normal Balances
Assets	Debit
Capital	credit
Revenue	credit
Expenses	debit

Weaker responses were unable to comprehend the question. Instead of mentioning the side of normal balance, they mentioned the presentation of these account heads in the financial statements. Few responses mentioned incorrect normal balance which showed incorrect or incomplete understanding of the given concept. Such responses reflected that the candidates did not read the question carefully and overlooked the example given in the question.

Example:



Accounting Heads	Normal Balances
Assets	Debit
Capital	Non-current, current.
Revenue	incomes, sales.
Expenses	purchases. Operating exp, distribution, selling etc.

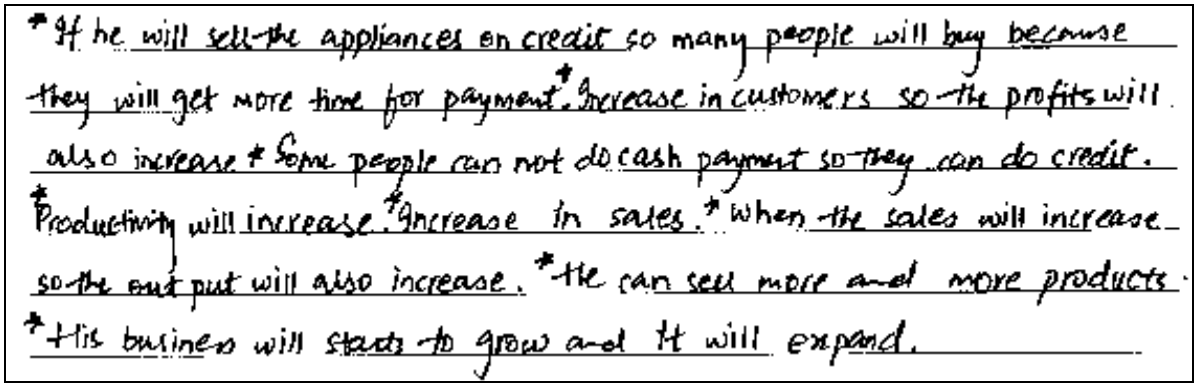
Question 5:

Waqas Electronics is a well-known distributor of electronic appliances in his town. He used to sell the appliances on cash but now he is planning to sell electronic appliances on credit as well.

Discuss any THREE reasons on the basis of which Waqas Electronics has made this decision.

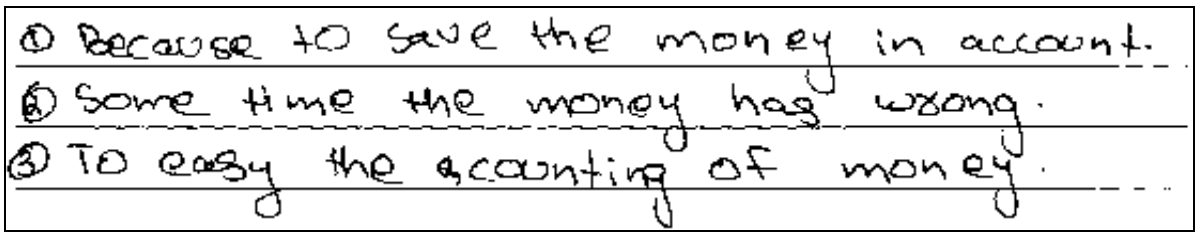
Better responses clearly mentioned the bases of taking decision. Here the responses highlighted the merits of selling goods on credit such as increase in quantum of sales, more profit, growth and expansion and increase in market share. Few responses also mentioned and justified the reason like increase in production, tough competition, etc.

Example:


* If he will sell the appliances on credit so many people will buy because they will get more time for payment. * Increase in customers so the profits will also increase * Some people can not do cash payment so they can do credit. * Productivity will increase. * Increase in sales. * When the sales will increase so the out put will also increase. * He can sell more and more products. * His business will starts to grow and it will expand.

Weaker responses merely described general reason for opting to sell goods on credit they were not able to relate it with the business. Such responses reflected that the candidates did not read the question carefully and they mentioned irrelevant points, like, to save money, to increase liquidity and to store goods, etc.

Example:


① Because to save the money in account.
② Some time the money has wrong.
③ To easy the acounting of money.

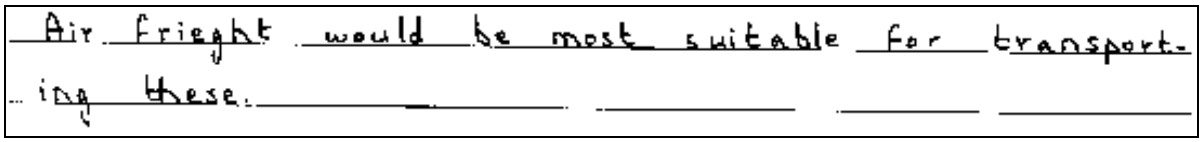
Question 6a:

Ghaffar Leather House, manufactures jackets and sweaters. Recently, the business has received an order of 2,500 jackets to be delivered from Karachi to London immediately.

Identify the MOST suitable mode of transportation for the consignment.

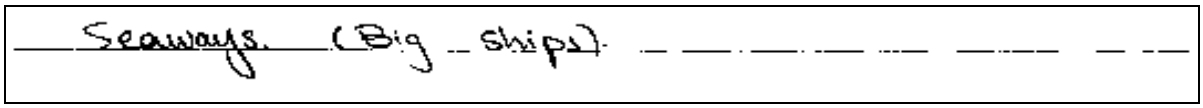
Better responses clearly mentioned the suitable mode of transportation which was 'airways'. Few candidates also mentioned the reason for selecting airways as answer which was not required.

Example:



Weaker responses mentioned the mode of transportation that is commonly used in international trade, i.e. 'seaways' which showed that they have not read the condition given in the question.

Example:

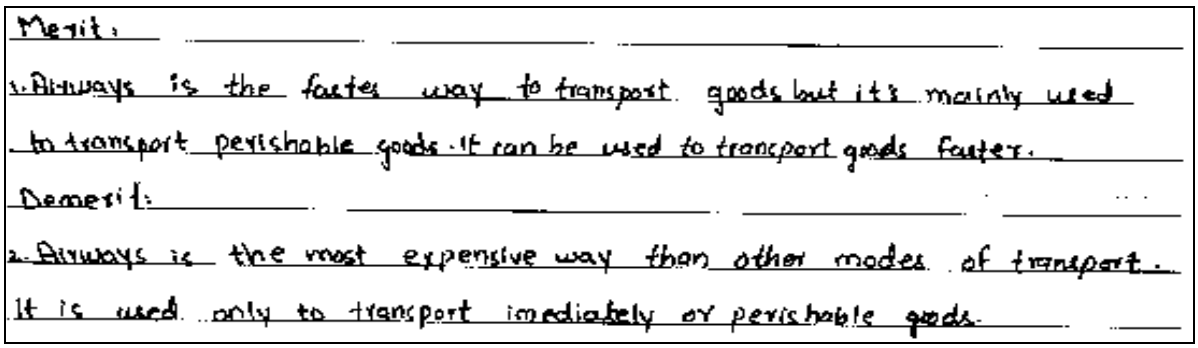


Question 6b:

Mention ONE merit and ONE demerit of the mode of transportation identified in part a.

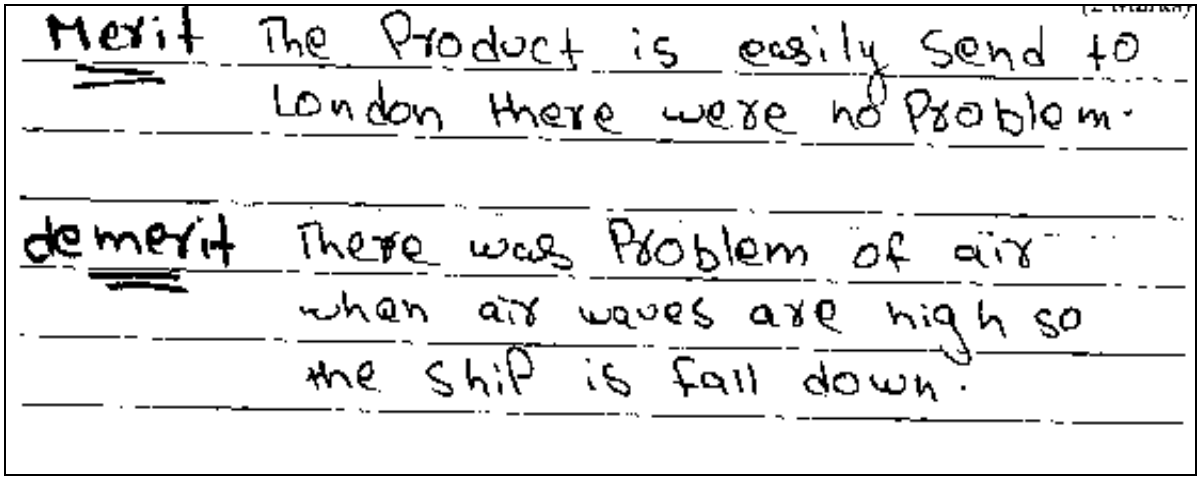
Better responses mentioned the relevant advantages and disadvantages of the mode identified in part a. Most commonly, candidates wrote that is the fastest but expensive mode of transportation. Few responses mentioned that it is suitable for carriage of goods of perishable nature or high value good easily over a long distance.

Example:



Weaker responses were the ones where the candidates were unable to score mark in part a, because part a and b were interconnected. Few responses showed that candidates were aware of modes of transportation but were not clear with the advantages and disadvantages of different types of transportation. Hence, they wrote irrelevant points, for instance, 'easy to send', 'easy to document', 'can be used to transport bulk quantity', etc.

Example:

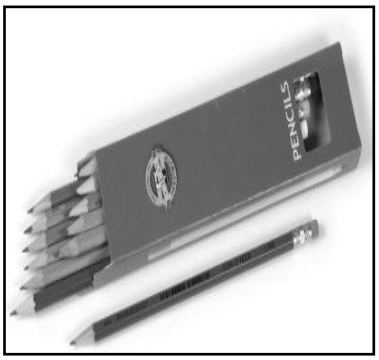


Question 7:

Identify the channel of distribution for the following goods.

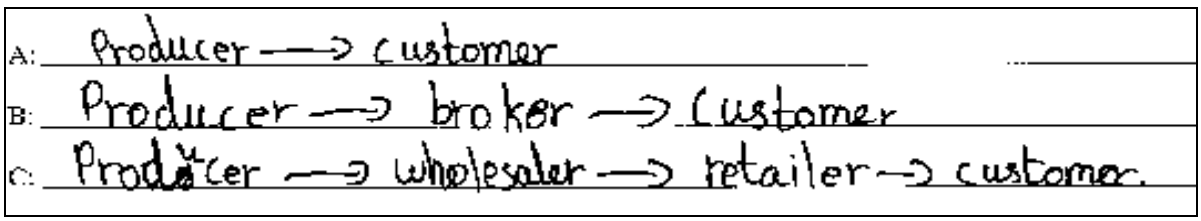






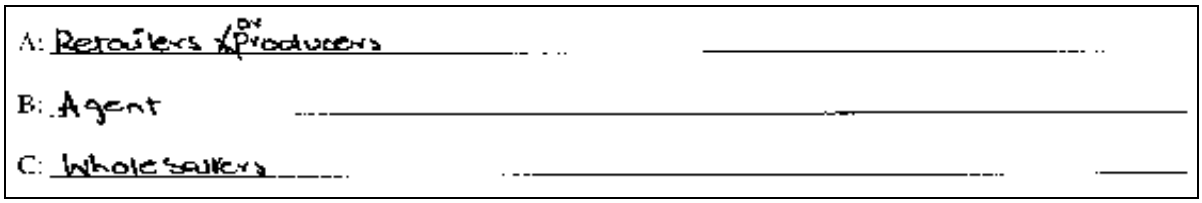
Better responses clearly mentioned the channels of distribution for the given goods. These responses clearly stated the channel from the point of production to point of sale, i.e. from producer to consumer. Few responses also mentioned more than ONE channel of distribution for product a and b which was considered at the time of e-marking.

Example:



Weaker responses were unable to comprehend the question properly. Instead of writing the channel of distribution they, only mentioned the middle men required for distribution of the given product, like, broker, wholesaler, agent and retailer. Few responses showed that candidates lacked knowledge and mentioned incomplete channel.

Example:

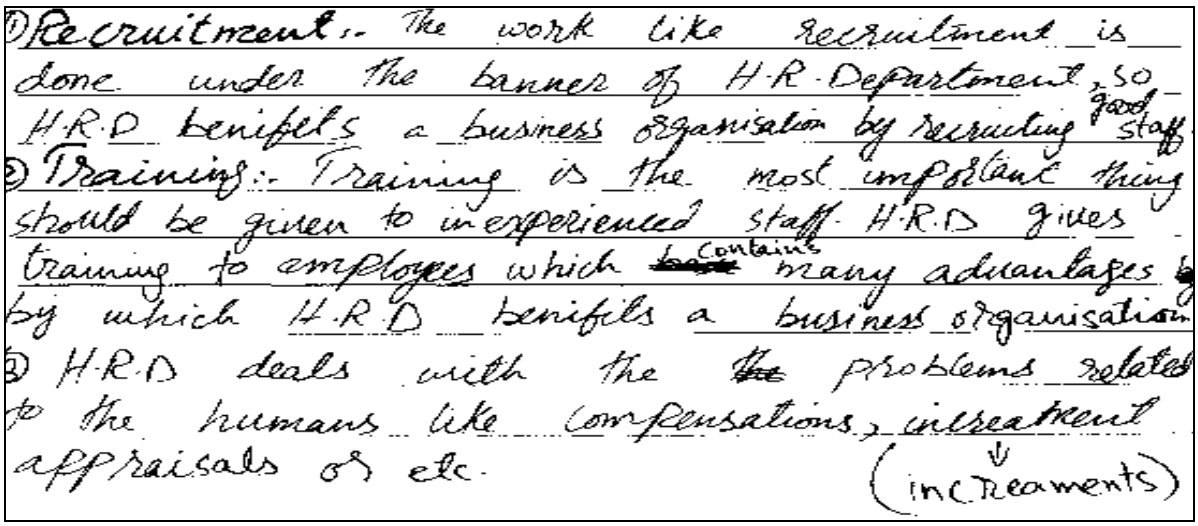


Question 8:

How does Human Resource Department benefit a business organisation? Explain any THREE points.

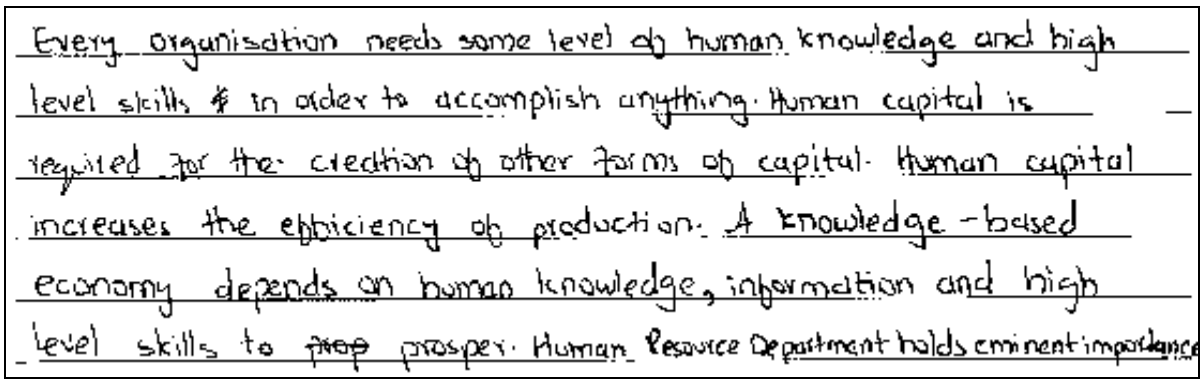
Better responses mentioned relevant benefits such as training of employee for better efficiency, preparation of benefit plans for retaining and hiring an employee, negotiating salary and other benefits with the employees, developing plans for motivating employees and negotiating and resolving conflicts within the employees.

Example:



Weaker responses reflected that students were confused between human resource and human resource department. Some responses reflected that student have incomplete knowledge as they were not able to write three benefits of the said department. Few responses mentioned irrelevant points like provide knowledge of human and helps in capital creation etc.

Example:


Every organisation needs some level of human knowledge and high level skills in order to accomplish anything. Human capital is required for the creation of other forms of capital. Human capital increases the efficiency of production. A knowledge-based economy depends on human knowledge, information and high level skills to prosper. Human Resource Department holds eminent importance

Extended Response Questions (ERQs)

Question 9

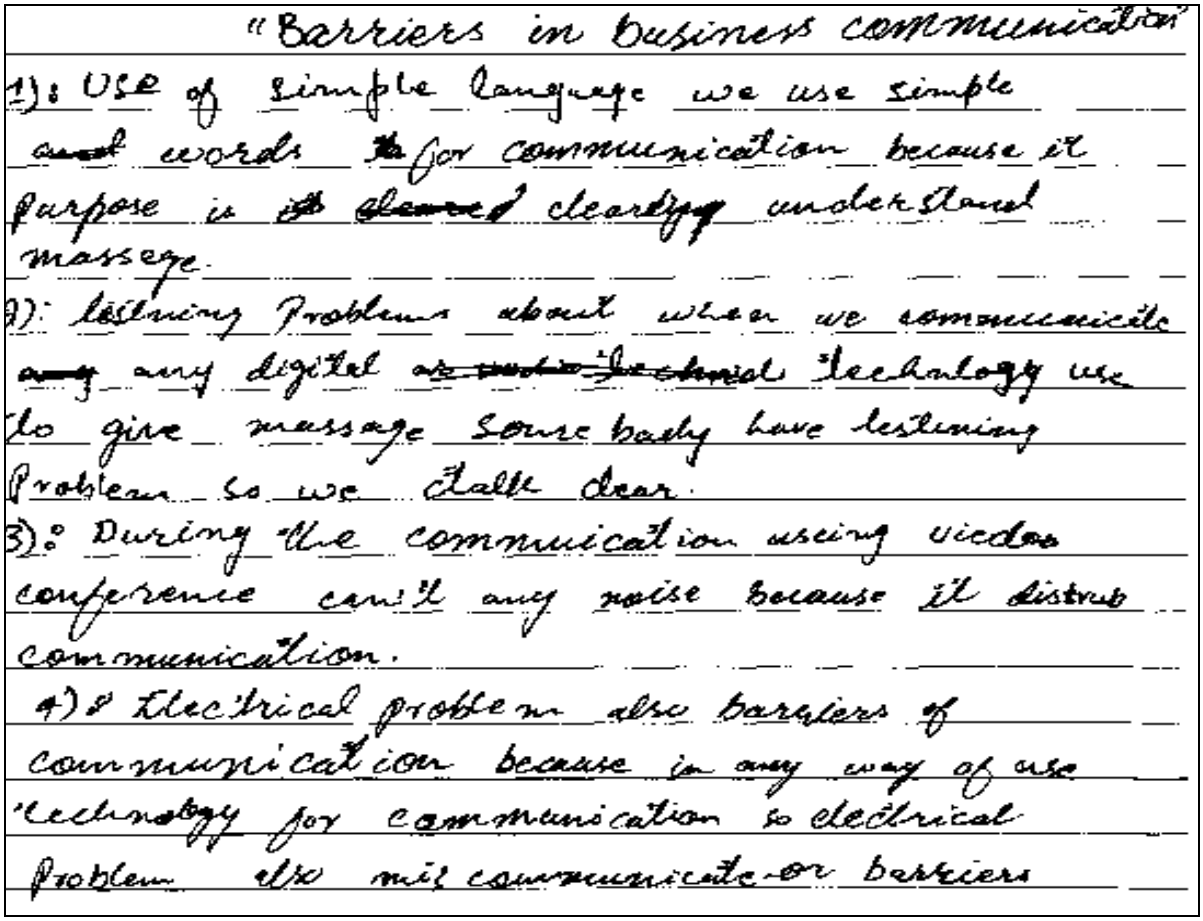
These questions offered a choice between part **a** and **b**. Question 9 Part **a** was based on measures to overcome barriers of communication whereas part **b** was related to factors of production and its characteristics. Majority of the candidates attempted option **b** and did well**.**

Question 9a:

Suggest any FOUR ways to overcome the difficulties/ barriers in business communication which are created due to technological advancement.

Better responses were the ones where the candidates mentioned measures like alternate power supply to avoid loss of information due to power failure, regular back up of data, use of anti-virus and anti-hacking software to avoid theft of data, use of alternate modem or internet connections and transmission of data by using more than one source, etc. Few responses connected the given situation with 7 C's of communication and answered the question accordingly.

Example:



"Barriers in business communication"

1): Use of simple language we use simple words for communication because it purpose is clearly understand massege.

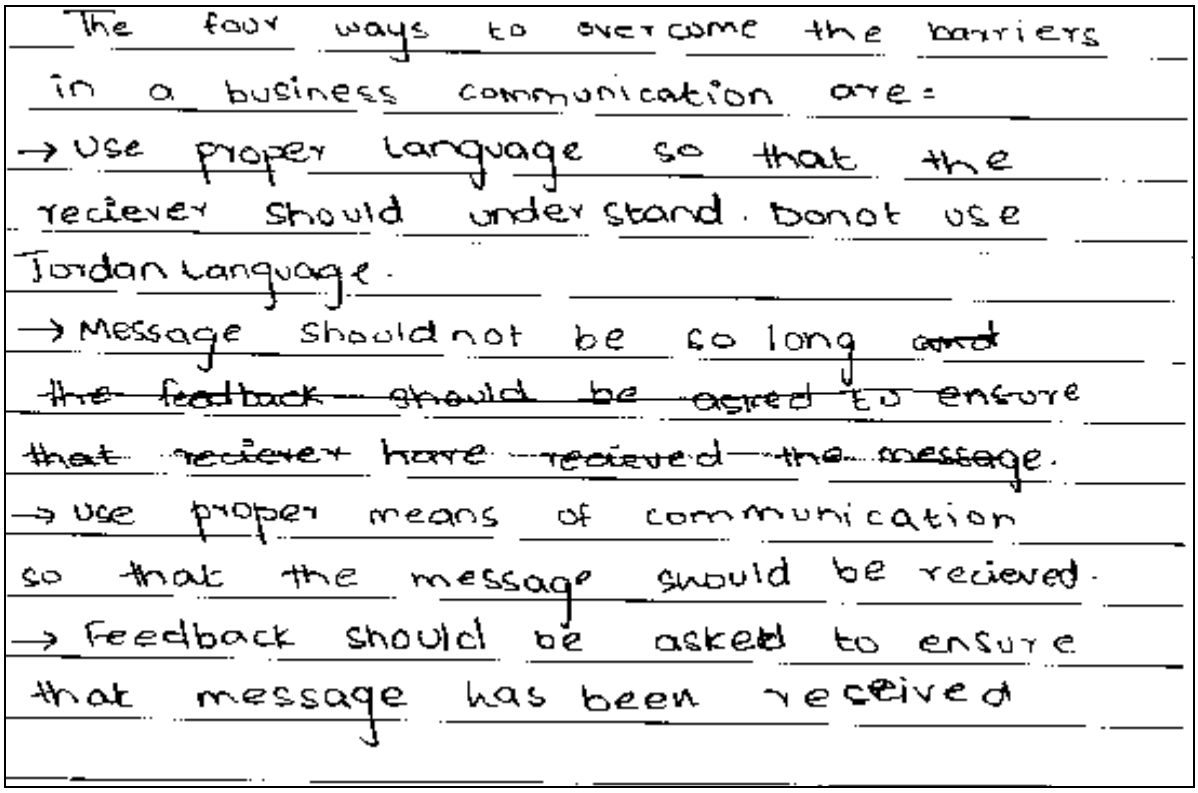
2): Listning Problems about when we communicate any digital technology use to give massage some body have listening Problem so we talk dear.

3): During the communication useing viedeo conference can't any noise because it distrub communication.

4): Electrical problem also barriers of communication because in any way of use technology for communication so electrical Problem also mis communicate or barriers

Weaker responses were the ones where the candidates were unable to meet the demand of the asked questions. Most of the responses were related to general ways to overcome barriers of business communication like ensure proper feedback, clarify ideas before communicating, use appropriate tone and consistency of message but they were not able to relate it to technological advancement. Few responses showed that students did not read the question completely and they mentioned the barriers of communication instead of ways to overcome it.

Example:


The four ways to overcome the barriers in a business communication are:
→ Use proper language so that the reciever should understand. Donot use Jordan Language.
→ Message should not be so long ~~and the feedback should be asked to ensure that reciever have recieved the message.~~
→ Use proper means of communication so that the message should be recieved.
→ Feedback should be asked to ensure that message has been received

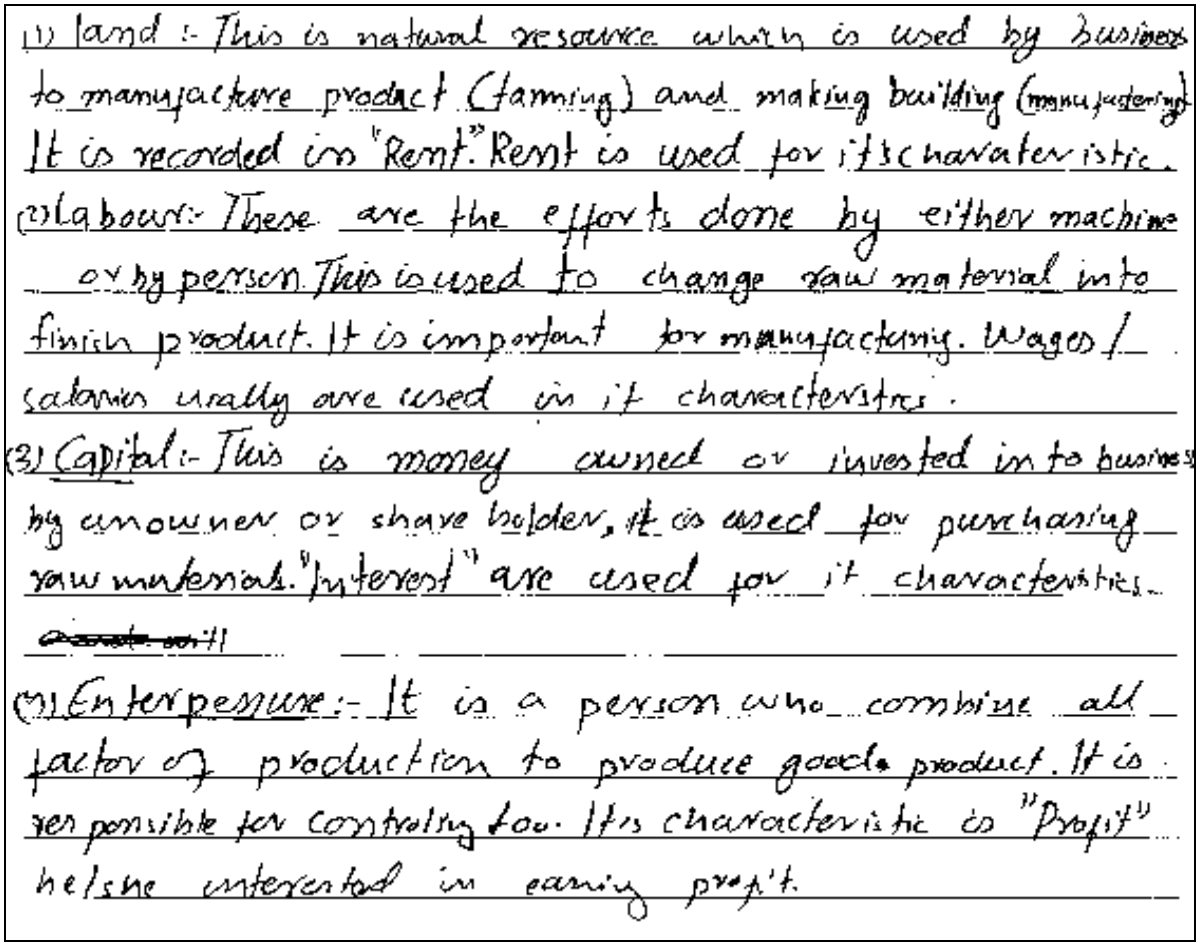
Question 9b:

'Factors of production' is an economic term that describes the inputs that are used in the production of goods or services in order to make economic profit.

Explain FOUR factors of production along with ONE characteristic of each.

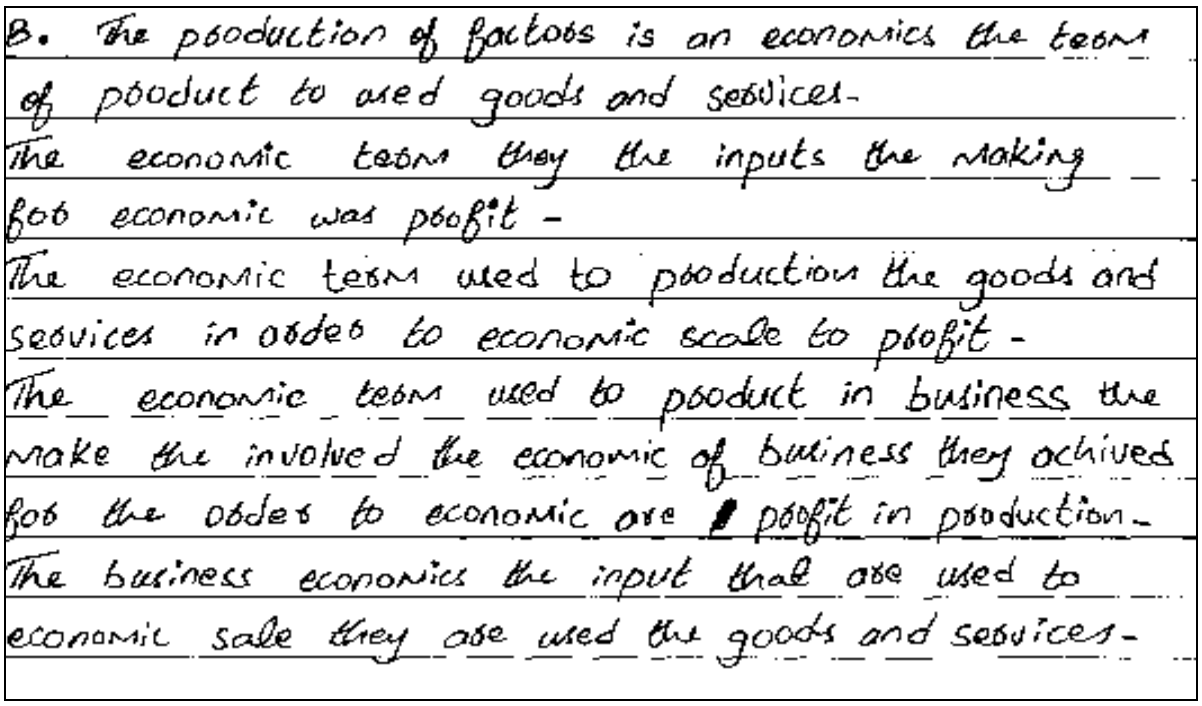
Better responses clearly mentioned the factors of production, i.e. land, labour, capital entrepreneur. Candidates also wrote that the features of factors of production, like nature of these factors, rewards of the factors and role of these factors in production. Few responses also highlighted the contextual importance of these factors with reference to Pakistan.

Example:


(1) land :- This is natural resource which is used by business to manufacture product (farming) and making building (manufacturing) It is recorded in "Rent". Rent is used for it's characteristic.
(2) labour :- These are the efforts done by either machine or by person. This is used to change raw material into finish product. It is important for manufacturing. Wages / salaries usually are used in it characteristics.
(3) Capital :- This is money owned or invested in to business by an owner or share holder, it is used for purchasing raw materials. "Interest" are used for it characteristics.
(4) Enterpenure :- It is a person who combine all factor of production to produce goods product. It is responsible for controling loss. Its characteristic is "Profit" he/she interested in earning profit.

Weaker responses were unable to comprehend the question properly and answered only the first part, i.e. factors of production, but they did not mention its characteristics. Few candidates mentioned the importance of factors of production in general, like management of resources, help industry and country in growth and development.

Example:


B. The production of factors is an economics the teom of product to used goods and services-
The economic teom they the inputs the making foo economic was profit -
The economic teom used to production the goods and seovices in oodeo to economic scale to profit -
The economic teom used to product in business the make the involved the economic of buliness they achived foo the oodeo to economic ore profit in production -
The business economics the input that ore used to economic sale they ore used the goods and seovices -

Question 10

Part **a** of this question was based on components of balance sheet and part **b** was related to hiring function of human resource department. Majority of the candidates attempted option **a** and attempted this quite well.

Question 10a:

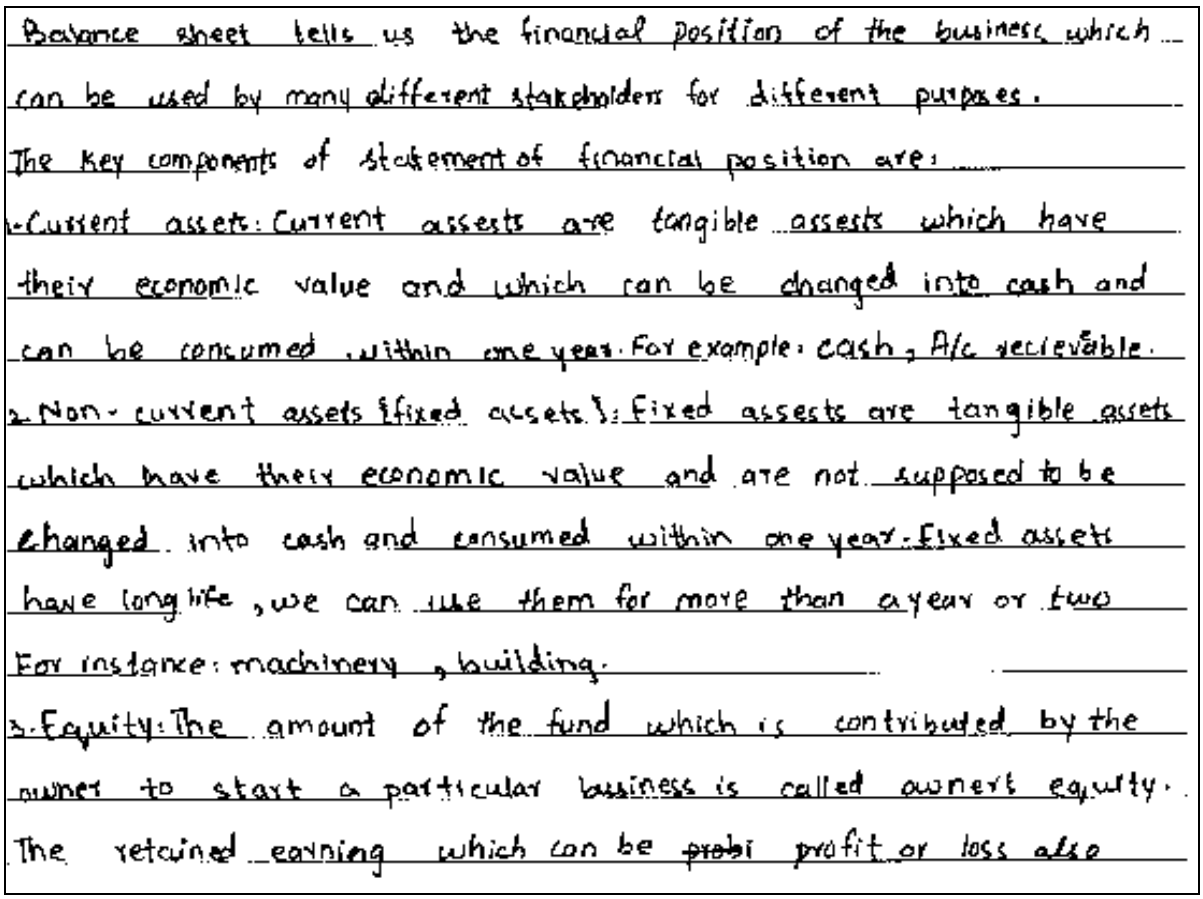
Statement of financial position (balance sheet) is an integral part of financial statement that is used by different stakeholders for different purposes.

Explain any FOUR of the following components of statement of financial position (balance sheet) with one example of each.

i. Current assets
ii. Non-current assets (fixed assets)
iii. Short term liabilities
iv. Long term liabilities
v. Equity

Better responses were the ones where the candidates explained the components of balance sheet with reference to its nature and time. Few responses mentioned these components with reference to time and some mentioned it with reference to their presentation. These responses also mentioned the correct examples for each component such as cash, furniture, trade payables, bank loan, capital and drawing respectively.

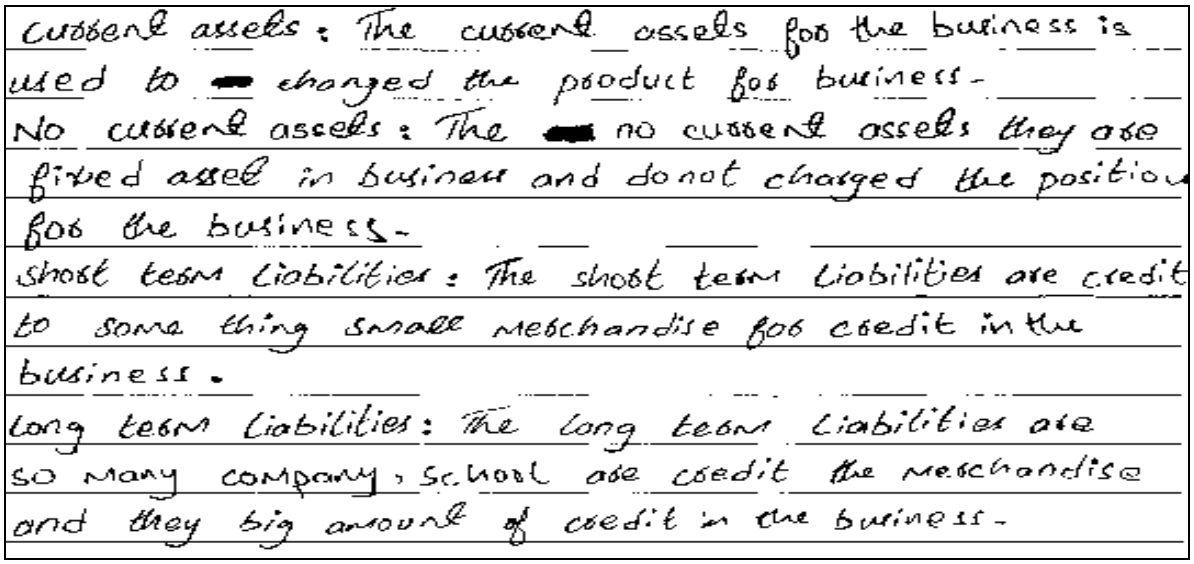
Example:



Balance sheet tells us the financial position of the business which can be used by many different stakeholders for different purposes.
The key components of statement of financial position are:
1-Current assets: Current assests are tangible assests which have their economic value and which can be changed into cash and can be consumed within one years. For example: cash, A/c recievable.
2. Non-current assets (fixed assets): Fixed assests are tangible assets which have their economic value and are not supposed to be changed into cash and consumed within one year. Fixed assets have long life, we can use them for more than a year or two For instance: machinery, building.
3. Equity: The amount of the fund which is contributed by the owner to start a particular bussiness is called owners equity. The retained earning which can be ~~probi~~ profit or loss also

Weaker responses were the ones where the candidates were unable to meet the demand of the question. Most of the responses explained various components of balance sheet but they did not mention the examples. Few responses were not able to differentiate between long term and short term liabilities on the basis of time and gave vague explanation to these liabilities.

Example:



Cussent assets: The cussent assets for the business is used to [redacted] changed the product for business.
No cussent assets: The [redacted] no cussent assets they are fixed asset in busines and do not charged the position for the business.
shost term liabilities: The shost term liabilities are credit to some thing small merchandise for credit in the business.
long term liabilities: The long term liabilities are so many company, school are credit the merchandise and they big amount of credit in the business.

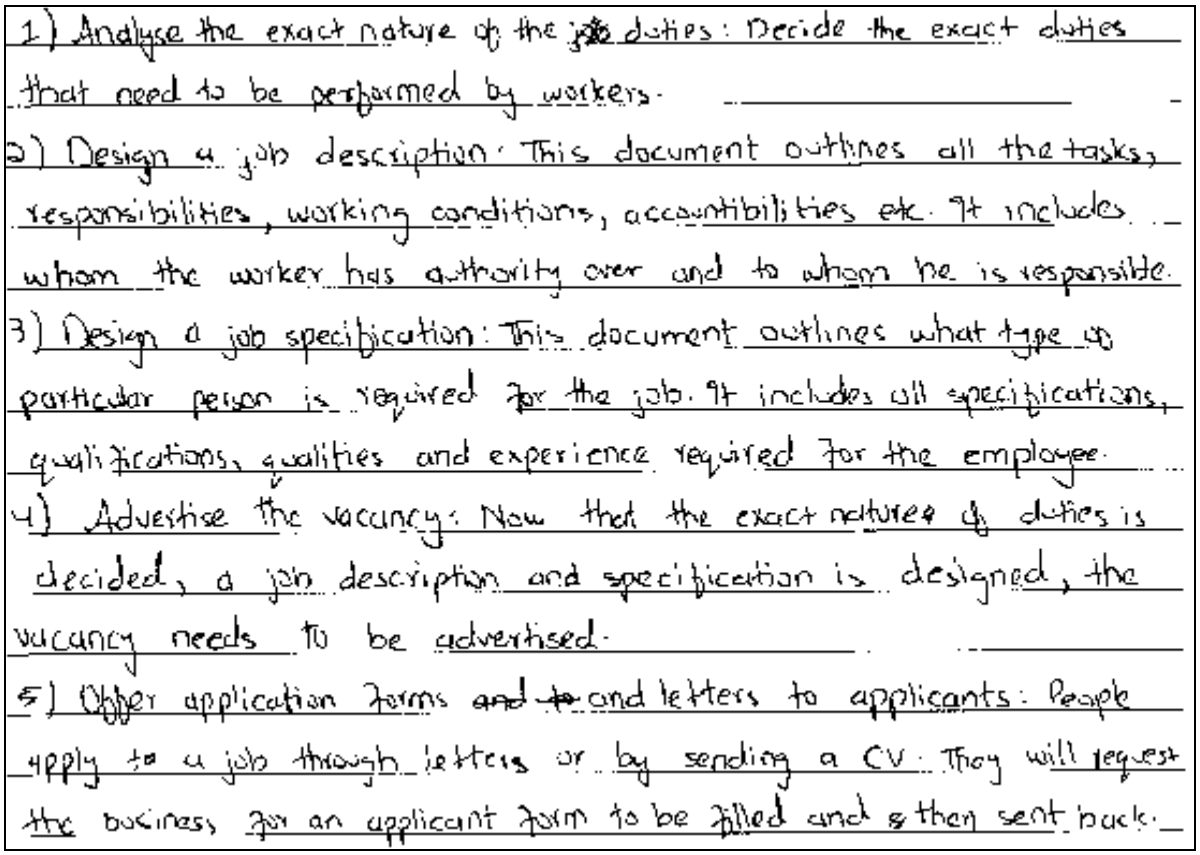
Question 10b:

Selecting the right candidate for the right job is a lengthy procedure undertaken by Human Resource Department.

Explain the procedure of recruiting an employee for a business organisation.

Better responses clearly mentioned the sequential process of recruiting an employee from start, i.e. analyses of need to hiring and training. Few responses only mentioned the key steps for hiring an employee like, announcement, testing, hiring, orientation and training etc.

Example:


1) Analyse the exact nature of the job duties: Decide the exact duties that need to be performed by workers.

2) Design a job description: This document outlines all the tasks, responsibilities, working conditions, accountibilities etc. It includes whom the worker has authority over and to whom he is responsible.

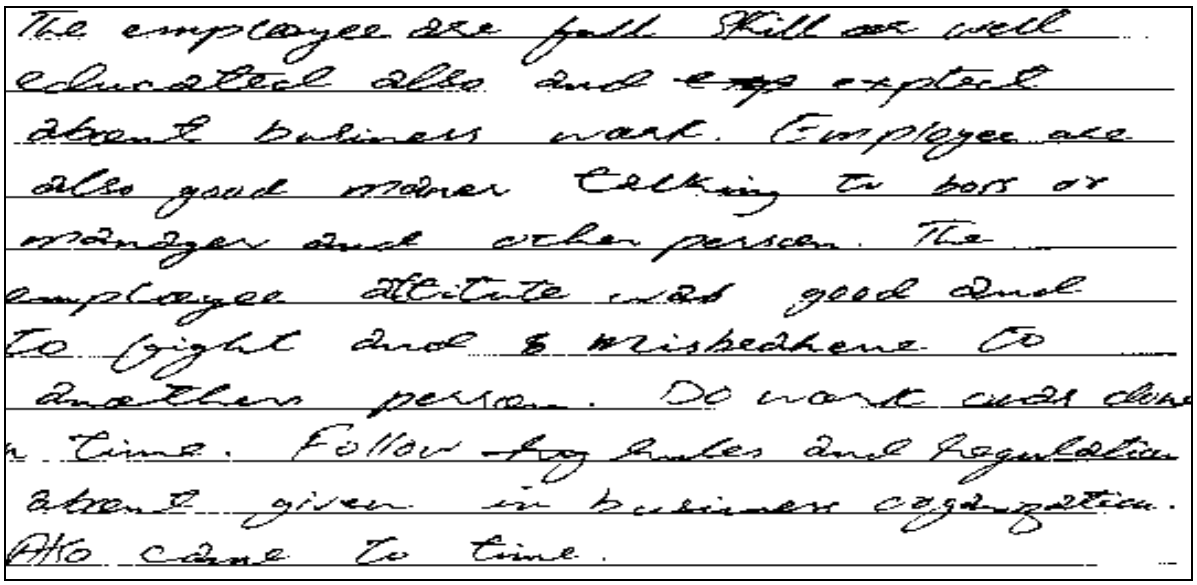
3) Design a job specification: This document outlines what type of particular person is required for the job. It includes all specifications, qualifications, qualities and experience required for the employee.

4) Advertise the vacancy: Now that the exact natures of duties is decided, a job description and specification is designed, the vacancy needs to be advertised.

5) Offer application forms and ~~to~~ and letters to applicants: People apply to a job through letters or by sending a CV. They will request the business for an applicant form to be filled and s then sent back.

Weaker responses were unable to comprehend the question properly and explained types of recruiting instead of recruitment process. Few students mentioned the role of Human Resource department like motivating employees, training employees and fixing staff remuneration and did not answer the required part.

Example:


The employee are full skill as well educated also and ~~e~~ expert about business work. Employee are also good manner talking to boss or manager and other person. The employee attitute with good and to right and ~~s~~ misbehave to another person. Do work on time. Follow ~~by~~ rules and regulation given in business organization. Also come to time.